

Tax Externalities?

For any actively managed equity strategies, avoid mutual funds. These vehicles generate 1099s with unpredictable tax liabilities. Avoid limited partnership hedge fund structures with hidden “basis.” Investing is tough enough—avoid embedded tax liabilities at all costs.

Does the Alpha Justify the Tax Costs?

Alpha of 5 percent a year, with a 10 percent tax drag, nets out to a –5 percent liability. Not good. A good question to ask is what your after-tax alpha would have been when viewing a great backtest.

Tax Risks?

Maybe this strategy is too aggressive. Are the tax benefits of this strategy too good to be true? Are the managers “pushing the envelope” with untested tax approaches? Could it trigger an unwanted audit? Are there tax and legislative risks that can be assessed? IRS rules can change; lawsuits can occur; lawyers are expensive, and you need to pay them with after-tax dollars.

S: Search

“There are about 8,000 planes in the air and 100 really good pilots.”

—Ray Dalio in 2020 Vision

We've finally got the report from our consultant telling us that we need 40 percent of our assets in hedge funds. Great, let's go hire the best hedge fund managers! Wait a second, now we have to compile a list of candidates, fly around the world interviewing people, conduct due diligence, and after all that maybe we need to hire yet another consultant who specializes in understanding hedge fund strategies. Suddenly, manager search isn't as easy as we previously expected. How can we be confident in our ability to identify the very best? Even once we have the managers, things don't get easier. We have to monitor them each year, do on-site visits, watch for style drift, make sure their growth will not impact their returns, etc. Search costs are a real cost associated with particular portfolio allocations. One needs to weigh the benefits of more exotic allocations, such as hedge funds, private